Forfeiture + Reissue of Shares

unpaid call, shares gone!

Financial Accounting-2

In simple words *If a member does not pay a call, the company cancels his shares and keeps what he already paid.*

1 Forfeiture

Cancelling shares of a defaulting member for non-payment of calls, as per Articles. Amount already paid is not refunded.

Share Capital is debited with the amount CALLED up

2 Reissue

Company sells the forfeited shares again, at par, at a discount or at a premium. Discount cannot exceed the forfeited amount of those shares.

Gain goes to Capital Reserve

1. On forfeiture, debit Share Capital with called-up amount, credit Forfeited Shares A/c with amount received.
2. Unpaid calls (Calls-in-Arrears) are credited; premium not yet received is debited to Securities Premium.
3. Premium already received is NOT refunded, so debit Securities Premium only if premium was not received.
4. Reissue loss (discount) is debited to Forfeited Shares A/c; balance left there is the capital reserve gain.



Swipe for the formula →

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FORFEITURE ENTRIES

Forfeiture and Reissue of Shares

three entries, learn them!

Capital Reserve on reissue

CAPITAL RESERVE =

Forfeited A/c credit on these shares − discount allowed on reissue

Forfeited A/c credit = amount received on those shares. Transfer only the gain on shares actually reissued.

On forfeiture (premium received)

Equity Share Capital A/c	Dr
To Forfeited Shares A/c	
To Calls-in-Arrears A/c	

(Being shares forfeited for non-payment of call)

On reissue at a discount

Bank A/c	Dr
Forfeited Shares A/c	Dr
To Equity Share Capital A/c	

(Being forfeited shares reissued at a discount)

Transfer of gain

Forfeited Shares A/c	Dr
To Capital Reserve A/c	

(Being gain on reissued shares transferred to reserve)

PROFIT HERE IS CAPITAL, NOT REVENUE! Forfeiture keeps the defaulter's money; the final gain after reissue is a capital profit, never a revenue profit.

Swipe for a memory trick →

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Study Trick

Forfeiture and Reissue of Shares

F-R-C: remember the flow

Forfeit, Reissue, Reserve

Money received stays in Forfeited A/c, reissue discount eats into it, and what is left moves to Capital Reserve.

How to attempt it

1 Find amount called and received → 2 Debit Share Capital (called up) →

3 Credit Forfeited A/c (received) →

4 Reissue: debit discount to Forfeited → 5 Leftover to Capital Reserve

Exam Tip

MCQs ask where the net profit on forfeiture and reissue goes: Capital Reserve. Check the reissued share count first.

Doubt Buster

If only some forfeited shares are reissued, transfer all balance? No. Transfer only the gain relating to the reissued shares. Balance for unissued shares stays in Forfeited Shares A/c.

Swipe for common mistakes →

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COMMON MISTAKES

Forfeiture and Reissue of Shares

avoid these slips

✗ Debiting Share Capital with only the amount paid

✓ Debit Share Capital with the full amount called up on forfeited shares.

✗ Crediting profit on reissue to Profit and Loss A/c

✓ Transfer the net gain to Capital Reserve.

✗ Transferring entire Forfeited balance when part is reissued

✓ Transfer only the gain on the shares reissued; keep the rest.

PAST EXAM RADAR

CMA Inter MQP J26 S2, MQP D25 S1 · MCQ

Where net profit on forfeiture and reissue of equity shares is transferred

CMA Inter PY J19 · MCQ

Account credited with profit on forfeiture and reissue of equity shares

CMA Inter PY D22 · MCQ

Final call unpaid; amount moved to Capital Reserve after reissue

TOMORROW'S CMA CAT MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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